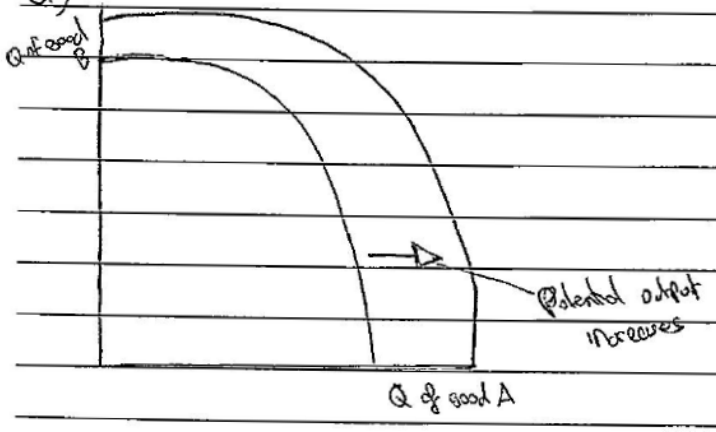
2

ai) To achieve income inequality

- ~~close access to water for everyone~~ High life expectancy
- ~~parent~~ High literacy rate

aii) A tariff is a ~~tax~~ tax implemented by the government on foreign goods (imports)

bi)



bii) Real GDP = $\frac{\text{nominal GDP}}{\text{deflator}} \times 100$

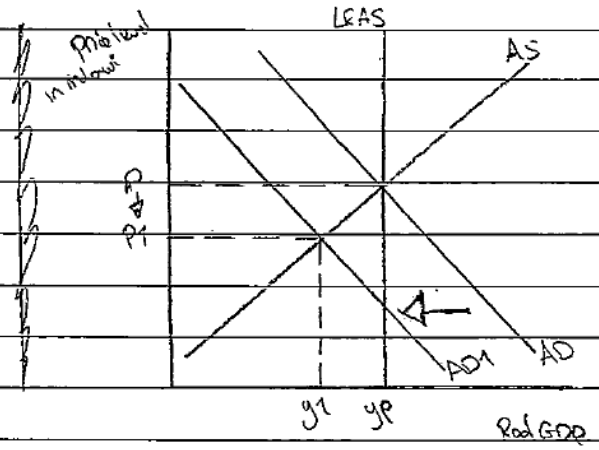
Real GDP = 1786.4

c) Low income → low savings → low investment

low productivity

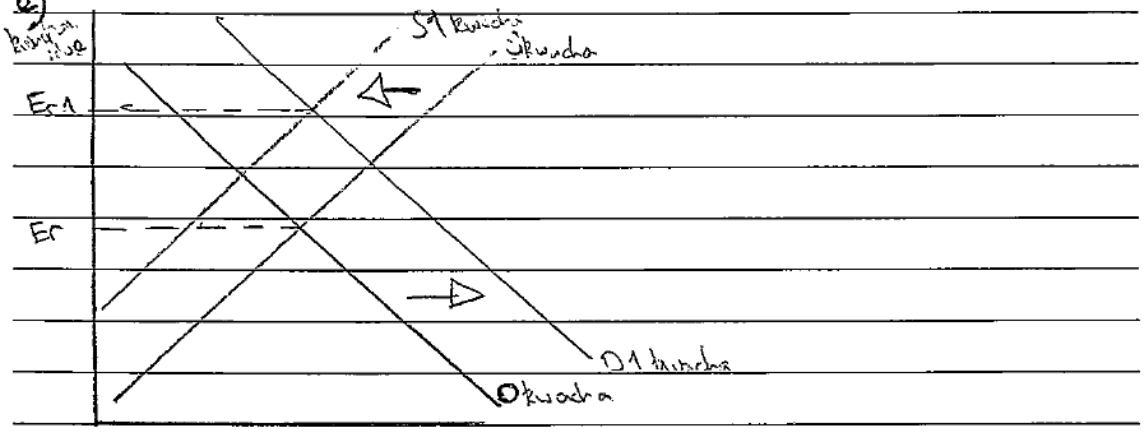
Increasing the funds for education would help improve potential output would increase potential output and could possibly productivity, thus improving the productivity may stop the cycle would stop people from going back to low income

d)



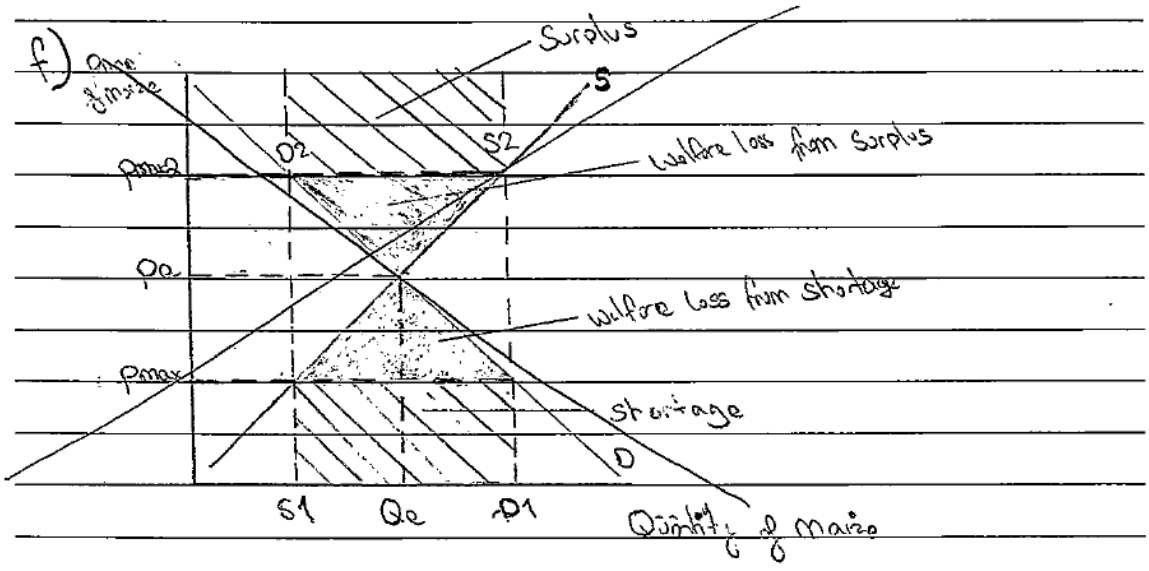
A reduction in government spending would cause AD to fall, as there is less productivity due to the lack of investment by the government. Thus, reducing the AD the fall in AD causes price to also decrease, hence and therefore inflation as well.

e)

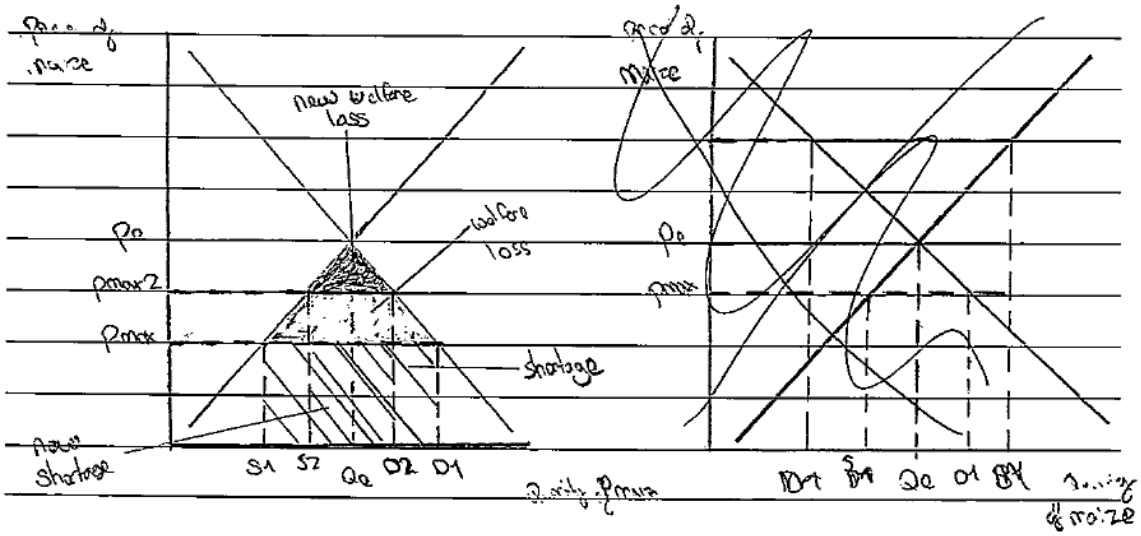


A reduction in the current account deficit would cause the currency to appreciate, as the demand for imports would decrease and the imports seem cheaper, and ex ports seem more expensive, thus the decrease in exports decreases. The exchange rate would become higher and 1 Rwacha would be US dollar would be worth less Rwacha.

f)



When the price ceiling is implemented, producers can only charge a lower price, therefore they lower supply from Qe to S1. The reduced price increases the affordability of maize, thus demand increases from Qe to D1. However, due to these changes a welfare loss is created because of the shortage.



when the price ceiling is increased, the shortage decreases as the producers have the ability to charge a higher, however, demand decreases from D1 to D2 and SS increases from S1 to S2, hence although the shortage has decreased it is still remains. Furthermore, due to the shortage decreasing, the welfare loss also decreased but is still there

d)

2

g) One of the policies that the Malawian government used is contractionary fiscal policy, in order to decrease inflation. Contractionary fiscal policy is when the government decreases spending and increases taxes, in order to make AD decrease, causing price level to decrease and the hence reducing inflation. However, reducing AD means that there will be slower economic growth, as government and consumer spending have both decreased, aswell as investment. The lack of spending will decrease GDP, as firms have the incentive to produce less ~~of~~ Productive capacity decreases. The decrease in productivity will also prevent the poverty cycling from breaking, causing more people to live in poverty and also more unemployment. However, one of the advantages of contractionary fiscal policy is that the government has more revenue, which it can spend on merit goods, such as healthcare, education and infastructure, to improve ~~the standard of living~~ economic growth and development in the long run. In order to increase exports, Malawi is reducing tariffs on many countries, however other taxes are being raised ~~on imports~~, to reduce trade deficit. Although reducing tariffs may prevent trade wars with other countries, ~~trade wars may occur~~ infant industries in Malawi may be forced to shut down, due to increased competition from foreign producers. The prevention of trade wars may help Malawi export more but the increased competition that domestic producers face may cause people to buy more imports, slowing down economic growth in Malawi. ~~One of the~~ The Malawian government is subsidising fertilizer for small scale farmers, in order to increase the amount of maize produced. Increasing the output of maize will increase GDP and has help economic growth, however, the fertilizer policies undermines, which is

unsustainable and causes environmental degradation, thus Sustainable development is worsened, as the water becomes polluted. However, the government projects that help build water related infastructure may mobilise this slightly, ensuring that there is clean water for people, despite other water sources being polluted. Increasing the education of teenage girls will promote literacy within Malawi, so both men and women can work and furthermore, it may help break the poverty cycle, as productivity is increased, thus increasing potential output and during economic growth to rise. The establishment of Monopsonic groups will increase net exports, as these groups improve ~~the~~ the production efficiency of agricultural goods, such as cotton and tea, however, due to there being no protection, dumping may occur and people may purchase imports instead of ~~the~~ goods from domestic consumers, ~~which~~ which may cause them to shut down, hence slowing down economic growth. Although the increased price ceiling does improve the shortage, there is still a shortage in the amount of maize being produced and thus there is still a welfare loss, despite the affordability of the maize being increased. Nevertheless, a subsidy would be more ideal as producers can produce at the market equilibrium and also charge an affordable price. ~~Although~~ To promote Another issue with not having trade protection is that it might cause corruption within the country, which will hinder economic development, however, the free trade allows government revenue to increase, which it can use to spend on merit goods such as healthcare, education and infastructure to improve economic growth ~~and unemployment~~ by reducing unemployment with more job opportunities and economic development by improving life expectancy and literacy rate.